

**JUSTIFICATION REVIEW DOCUMENT
FAR 13.5 SIMPLIFIED PROCEDURES FOR CERTAIN COMMERCIAL ITEMS
SOLE SOURCE JUSTIFICATION AND APPROVAL**

Program/Equipment: Program/Equipment: Reynolds Army Health Clinic, Fort Sill, Oklahoma procured a fully network capable Sleep Lab System from the Original Equipment Manufacturer (OEM) – Nihon Kohden on September 12, 2022, please refer to purchase order: W81K0022P0235. This was the first network capable sleep lab system within the Defense Health Agency (DHA) activities. Prior to the system being on the DHA network, the OEM had to complete the Risk Management Framework (RMF) approval process with DHA's J6 Cyberlog to obtain an Authorized to Operate (ATO) approval. The ATO (eMASS ID: 3579) was approved on May 24, 2023.

Installation of the Sleep Lab system occurred during the period of September 5-8, 2023, with the warranty period of September 7, 2023, through September 30, 2024. During the warranty period, the OEM provided ATO sustainment maintenance IAW DHA J6 Cyberlog requirements. In good faith the OEM extended the ATO sustainment maintenance coverage until December 6, 2024, due to the Government contracting support issues of the ATO sustainment maintenance coverage i.e. Fort Cavazos Health Contracting Branch Medical Readiness Contracting Office–West (MRCO–West) Army Health Contracting Activity, MEDCOM or Mission & Installation Contracting Command - Fort Sill, Oklahoma.

Nihon Kohden (OEM) is the only vendor that can provide the required ATO sustainment maintenance required by DHA J6 Cyberlog. OEM ensures all network components are within DHA J6 Cyberlog network requirements. No other vendor/company are allowed to work within the OEM's ATO requirements.



This submission base year coverage is for a seven-month period, from 1/March/2025 – 30/September/2026. All follow-on option years (OPY1-4) are 1-October start dates, and end annually on 30 September to support fiscal year dates.

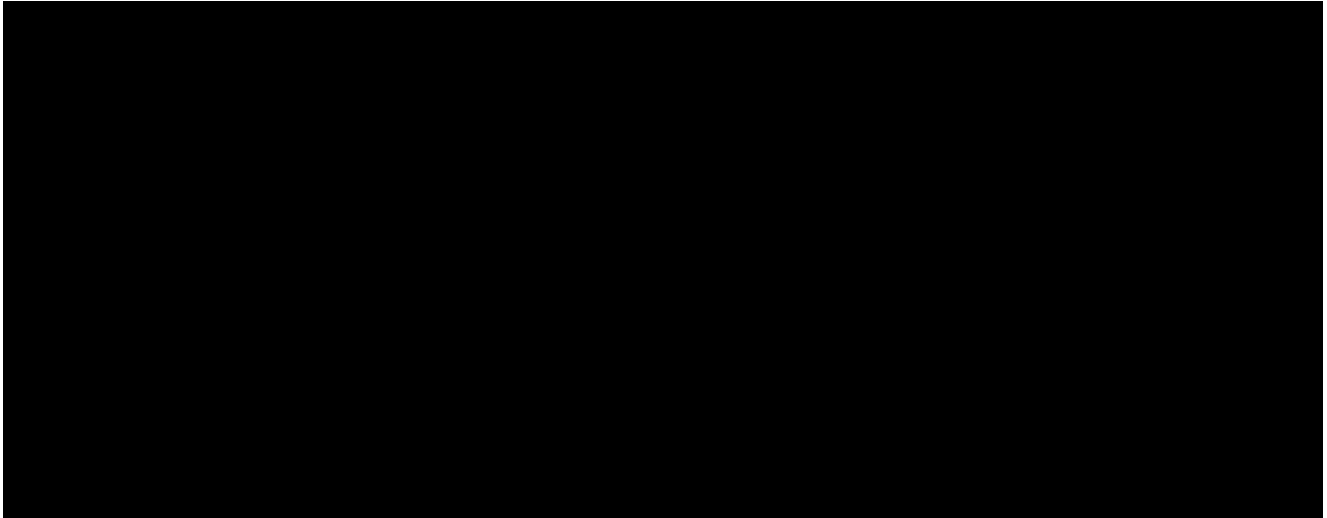
Authority: Simplified Procedures for Certain Commercial Items, Title 41 U.S.C. 1901 as implemented by FAR 13.5.

Control No.:

[REDACTED]

[REDACTED]

[REDACTED]



**FAR 13.5 Simplified Procedures for Certain Commercial Items
Sole Source Justification and Approval**

- 1. Contracting Activity:** U.S. Army Mission and Installation Contracting Command (MICC)-Fort Sill 1803 MACOMB RD, 73503.
- 2. Description of Action:** The Army Medical Command requests a Firm Fixed Price contract. The Government projects award for 1 March 2025 and fiscal year 2025, Operation and Maintenance funds will be used.
- 3. Description of Supplies/Services:**

PSG ATO Sustainment Agreement

(6 EA) #ATOSUSTAIN-ACQPC ATO Sustain Acquisition PC Service
 (1 EA) #ATOSUSTAIN-REVPC ATO Sustain Review PC Service
 (1 EA) #ATOSUSTAIN-DB-HL7 ATO Sustain Database-HL7 Service
 (1 EA) #ATOSUSTAIN-SERVER ATO Sustain Server-NAS Service

EEG-1260A	517
A/ONEBED-SCORE-12X	SLEEP05772
A/ONEBED-SCORE-12X	SLEEP05773
A/ONEBED-SCORE-12X	SLEEP05774
A/ONEBED-SCORE-12X	SLEEP05775
A/ONEBED-SCORE-12X	SLEEP05776
A/DELLNX3240NAS	37BW5X3

4. Authority Cited: Simplified Procedures for Certain Commercial Items, Title 41 U.S.C. 1901 (or Title 41 U.S.C. 1903 for Special Emergency Procurement) as implemented by FAR Subpart 13.5:



Unusual and compelling urgency

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☐

Exclusive licensing agreements

Industrial mobilization

X

Other: Only one responsible source and no other supplies or services will satisfy agency requirements.

5. Reason for Authority Cited:

a. Only one source is capable of providing the supplies or services required at the level of quality required because the supplies or services are unique or highly specialized. The Reynolds Army Community Hospital (RACH) at Fort Sill has a need to procure ATO sustainment services for their Government-owned PSG, EEG system and associated equipment currently in place at the facility. This service will support continued ATO certified functionality of the PSG and EEG equipment based on the vendors ATO certification. To meet the Government's requirement, only vendors certified to work on the PSG, EEG and associated equipment with the technical expertise needed will be accepted. The vendor must have the necessary qualifications and special skills required for them to service and/or replace parts of the PSG and EEG system by the OEM Nihon Kohden. Nihon Kohden America, LLC is the original equipment manufacturer for the proposed equipment, and do not have any other authorized companies they allow to service their equipment currently. As such, they are the only company capable of providing the services needed.

b. Alternatives. N/A

c. Additional Supporting Information:

d. Impact if justification not approved: The system being on the DHA network, the OEM had to complete the Risk Management Framework (RMF) approval process with DHA's J6 Cyberlog to obtain an Authorized to Operate (ATO). If this ATO Sustainment is not supported, we risk adversaries and foreign entities breaching or hacking these systems and retrieving important PHII information. The system is in place to avoid these unnecessary situations from occurring. The required ATO sustainment maintenance is required by DHA J6 Cyberlog. OEM ensures all network components are within DHA J6 Cyberlog network requirements. No other vendor/company are allowed to work within the OEM's ATO requirements. Not allowing the OEM to ensure network components and requirements are met will be catastrophic.

6. Efforts to Obtain Competition: The Contracting Officer shall publish the notices required by FAR 5.201.

7. Actions to Increase Competition: At this time, Nihon Kohden America is the only company authorized to service the equipment. Market Research will be conducted for follow on requirements to determine if other companies are able to service the PSG and EEG equipment.

8. Market Research: Market research was performed within the last 12 months using the open market, USASpending.gov and comparing similar maintenance contracts. No vendors reached out to express interest.

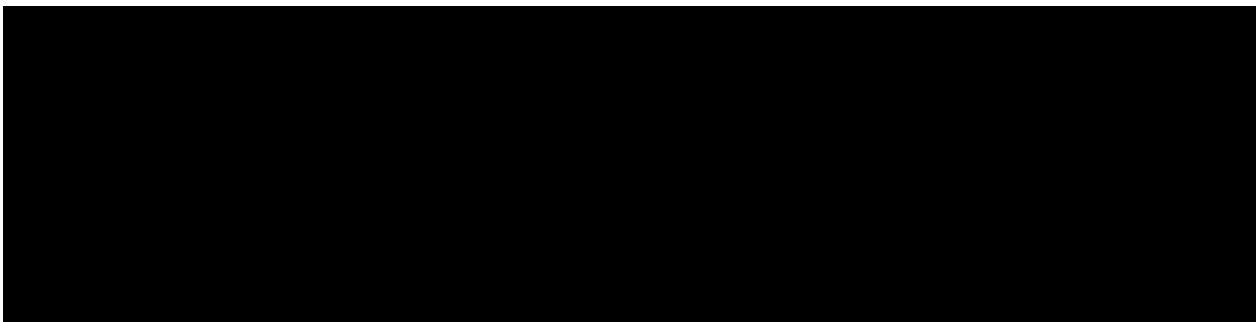
9. Interested Sources: See Paragraph 6 for the synopsis information. To date, no other sources have written to express interest in the acquisition.

10. Other Facts:

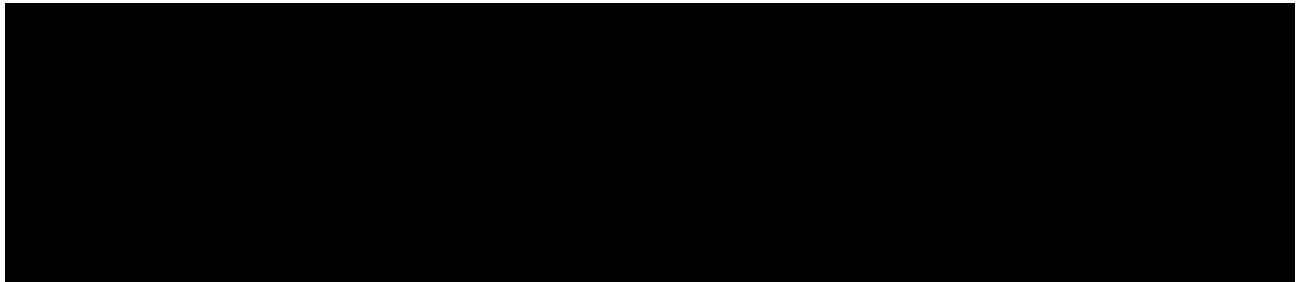
a. Procurement History: Not Applicable.

This is the first contract of its kind in DHA. Contract (W81K00-22-P-0235) was created as a one-time to install all equipment and necessary accessories to create the Sleep Lab; however, an ATO sustainment PSG and EEG contract have not been in place on this specific system, previous services were performed under warranty of equipment on this system.

11. Technical Certification: I certify that the supporting data under my cognizance which are included in the justification are accurate and complete to the best of my knowledge and belief.



12. Requirements Certification: I certify that the supporting data under my cognizance which are included in the justification are accurate and complete to the best of my knowledge and belief.



13. Fair and Reasonable Cost Determination: I hereby determine that the anticipated cost or price to the Government for this contract action will be fair and reasonable based on current market prices and price analysis of similar acquisitions. As a part of this basis, certified cost or pricing data is not required because the item and/or services being acquired are considered commercial.

